

Paxton needs the cavalry to come

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Paxton needs the cavalry to come. Yesterday's Texas Public Policy Foundation poll showing Republican Ken Paxton and Democrat James Talarico tied in the Texas Senate race will be scant consolation for Republicans in the state, with Talarico having led in all but one poll in late July and August.

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Talarico is holding around a 2.5-point lead over Paxton, who appears to be running at least five points behind his fellow Republican, Texas Governor Greg Abbott, on the ballot. That gap is evidence that Paxton is indeed the weak candidate national Republicans had feared.

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This is by no means a lost race for Republicans, but it's increasingly evident that something needs to change in the relatively near future to slide Texas into the "lean Republican" column. The most likely "something" is the prospect of President Trump's Super PAC, MAGA Inc., spending tens—if not hundreds—of millions on advertising, to boost the candidate who owes his place in the general election to Trump's endorsement.

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The need for outside spending from the national Trump organization is exacerbated by the fact that Paxton is a very poor fundraiser, having raised only \$16.8 million to Talarico's \$71.2 million, with very little cash on hand. If MAGA Inc.'s money doesn't materialize, this race will likely remain a toss-up heading into October.

Venezuela oil deals will provide political relief to Trump but not physical relief in markets. Chevron's announcement that it will invest \$7 billion investment in Venezuela over the coming five years comes on the heels of reports of several smaller US firms entering the market and the unprecedented

announcement that the US will take equity stakes in Venezuelan oil reserves.

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Trump has, and will continue, to tout these as a major win for the US that will unlock new volumes and insulate against supply disruptions associated with the war in Iran. However, the potential new volumes that could feasibly be added in the coming years—around 1 million barrels per day—pales in comparison to the current deficits in Persian Gulf output, and would fall short of rebalancing global markets. US refineries on the Gulf Coast, which are specifically tooled to run heavy Venezuelan crude, could benefit, though the impact to US consumer pricing would be marginal.

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For Trump, though, the political value of the deals exceeds their economic impact. Focusing on increased Venezuelan output gives him increased latitude to argue that the current US approach to Iran is sustainable, an important point given Trump's limited options for either a deal or military re-escalation (see Standoff now likely to run through 2026 as Hormuz traffic increases , 31 August 2026).

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The President's jawboning notwithstanding, oil markets continue to face a large deficit owing to the continued disruption of exports through the Strait of Hormuz, with the Brent per barrel price rising above \$95 for the first time since July and the price of diesel in the US likely to exceed its nominal all-time high of \$5.82 per gallon in coming days.

US will retain high-end advantage amid global defense hedging. Concerns over the reliability of US security partnership are driving some allies and partners to diversify suppliers, adopting a "US+" procurement strategy. However, this remains concentrated in high-priority systems, and the US retains a strong advantage in high-end, networked platforms.

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NATO defense procurement from the US will continue to decline. EU tools are strengthening regional procurement through local-content requirements and rising national defense budgets. "Buy European" funding will flow to sectors where European equipment rivals US alternatives and to less advanced, fit-for-purpose systems.

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Gulf states will diversify lower-tier air defense while retaining high-end American systems. During the Iran war Ukraine sent specialists to the Gulf, leading to memorandums of understanding to co-produce low-cost interceptors tailored to Shahed-level threats. South Korean, British, and Israeli air defense systems were also sent to the region, setting the stage for deeper defense ties.

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India and northeast Asian allies—Japan, South Korea, and Taiwan—are also increasing procurement from alternative or domestic suppliers, partly through local-sourcing rules and initiatives to build complete supply chains for certain systems.

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For more, please see US will retain high-end advantage amid global defense hedging , 3 September 2026.

Fight over Medicaid cuts will spill into 2027 agenda. Hospital systems around the country are up in arms over proposed cuts to two key elements of state Medicaid funding—the provider tax on hospitals and state-directed payments—put forward by the Trump administration, creating a major lobbying battle over the coming months.

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Both the provider tax and state-directed payments are scheduled to be cut, reducing the federal government's Medicaid expenditures, as part of the One Big Beautiful Bill Act. Those cuts alone were projected to save around \$350 billion. But the Center for Medicare and Medicaid Services' proposed rules implementing the changes reportedly go well beyond that, with hospitals saying it will cost them \$700 billion more.

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This will be a major policy fight that will likely spill into the 2027 legislative agenda; Democrats will likely use whatever leverage they have after the midterms to push for a delay in the scheduled cuts, and hospitals' ire at the proposed rules will likely aid them in this effort.

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The next signpost to watch in the meantime is whether CMS backtracks on the rule in response to hospital pressure, keeping it closer to the size of the cuts originally planned in OBBBA. CMS backtracked on a plan to substantially lower Medicare Advantage payments earlier this year, and could do so again on Medicaid.

Quote of the Day

"Well, I'm not going to bring up the fact that the mother of his two children is his second cousin. I don't know whether people know that or not." - Senator Susan Collins (R-ME) on challenger Troy Jackson in an September interview with Politico. With Collins narrowly trailing Jackson in recent polling in Maine, she is likely to trend negative on Jackson in her messaging, in large part because it is one of the few rhetorical millstones she can grind without bringing up the tricky issue of her independence from President Trump, who is deeply unpopular in Maine. Collins has also begun to attack Jackson over his record on electricity prices, which are highly salient to Maine voters.

On the Radar

10 August – 14 September: Senate on recess

8 September: Canadian retaliatory tariffs go into effect

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

24 September: Trump-Xi summit

30 September: Government funding runs out

3 November: National midterm elections

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